WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

COSTA RICA

Americas

Information current as of October 2026

Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
San José / Greater Metropolitan Area (GAM)	Capital and commercial centre; seat of government and home to regional headquarters and shared-service operations	Business and digital services, financial services, real estate
Heredia and Alajuela (Central Valley)	Core of the free zone cluster near Juan Santamaría International Airport; medical devices became the leading export in 2025 at more than $10.8 billion	Medical devices, advanced manufacturing, electronics, life sciences
Cartago	Eastern Central Valley industrial base with established free zone parks and access to a skilled workforce	Medical devices, precision manufacturing, agro-processing
Limón / Moín (Caribbean coast)	Principal Atlantic gateway handling container and fruit exports to the US and Europe	Port logistics, banana and pineapple exports, cold chain
Guanacaste / Liberia (north-west Pacific)	Leading tourism region served by its own international airport, with significant wind and geothermal generation	Tourism and hospitality, real estate, renewable energy
Puntarenas / Caldera (central Pacific)	Main Pacific port linking Costa Rica to Asian and west-coast American markets	Port services, fisheries, logistics
Free zones outside the GAM (e.g. San Carlos, Pérez Zeledón, Golfito)	Enhanced incentives are drawing investment to the regions; free zone FDI outside the GAM rose 24.3% to $270.2 million in 2025	Light manufacturing, services, agro-industry

INVESTOR ENTRY ROUTES

- CINDE (Costa Rican Investment Promotion Agency), a private non-profit body, provides free facilitation, site selection and sector guidance for foreign investors
- PROCOMER (Foreign Trade Promoter) administers the Free Trade Zone Regime, offering 100% tax exemptions; large manufacturing projects of $10 million or more receive full income-tax exemption for eight years and 50% for a further four
- Additional incentive programmes (inward processing, duty drawback and tourism development) available equally to foreign and domestic investors
- Free capital movement with no foreign-exchange controls; the colón operates under a flexible exchange-rate regime overseen by the Banco Central de Costa Rica (BCCR)

- Equal legal treatment of foreign and domestic investors, reinforced by OECD membership since May 2021 and adherence to the OECD Anti-Bribery Convention
- An extensive trade-agreement network (15 FTAs covering more than 57 partners), allowing free zone operations to serve the US, EU, UK and regional markets
- Sector-entry routes through concessions and public-private partnerships for infrastructure, and partnerships with state enterprises in energy and fuels

MARKET-ENTRY OBSERVATION

Costa Rica in October 2026 is one of Latin America's most consistent performers, combining OECD-standard institutions with a high-value export base. Real GDP grew 4.6% in 2025, led by free zone goods exports, and the BCCR projects 3.4% growth in 2026 and 3.5% in 2027. Exports reached a record $35.2 billion in 2025 (+11%), with medical devices alone exceeding $10.8 billion. Foreign direct investment totalled $5.12 billion in 2025, the second consecutive year above $5 billion, with reinvestment by established investors up 26% to $4.33 billion, a clear signal of confidence. Inflation turned positive in September 2026 (0.34%) after 16 months of falling prices, allowing the BCCR to cut its policy rate to 3.0% in July. S&P upgraded the sovereign to BB in October 2025, Moody's rates it Ba2, gross reserves reached a record $17.1 billion at end-2025, and an IMF Flexible Credit Line of about $1.5 billion provides an additional precautionary buffer.

Costa Rica's principal structural challenge is public security. Organised-crime activity has increased in recent years, and the country recorded 873 homicides in 2025. The response is gathering pace: homicides fell by around 20% in the first two months of 2026, specialised organised-crime courts and longer investigation periods have been introduced, and President Laura Fernández, who took office in May 2026, has made security a central priority. For investors the practical impact is concentrated in specific localities rather than in the free zone parks and business districts where most foreign operations are based, and standard security planning is sufficient for most projects. The improving trend, alongside a parallel fiscal-consolidation effort under the fiscal rule, also creates opportunities in security technology, logistics screening and port modernisation.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Public security and organised crime	Homicides reached 873 in 2025, although the trend has turned, with a decline of around 20% in early 2026	Base operations in established free zone parks and business districts and use professional security advisers; growing demand for security technology is itself an opportunity
US trade policy	A 12.5% US tariff on a range of Costa Rican goods took effect on 24 July 2026, with key agricultural, pharmaceutical and selected electronics lines exempt	Review tariff classification for each product line and use Costa Rica's broad FTA network to diversify markets; the US remains the largest source of FDI at 54.8%
Public debt and fiscal space	Central government debt stood at 61.1% of GDP at end-May 2026, with tax revenue below earlier projections	The fiscal rule, record reserves, an IMF Flexible Credit Line and recent rating upgrades support stability; investors benefit from continued commitment to consolidation
Bureaucracy and administrative processes	Permitting, customs and judicial procedures can be slow and add time to project timelines	Use CINDE and PROCOMER facilitation services and experienced local counsel; OECD-aligned regulatory reform is continuing
Moderation in new greenfield investment	Greenfield FDI fell 18% to $895 million in 2025, in line with a global decline in new projects	Strong reinvestment (up 26%) shows high retention; early movers face less competition for talent and sites, particularly in regional free zones
Infrastructure gaps	Road, port and urban-mobility constraints raise logistics costs in some corridors	Opportunities exist in concessions and public-private partnerships; near-fully renewable electricity is a competitive advantage
Skills supply in high-growth sectors	Demand for bilingual and technical talent	National programmes have provided more

Issue	Potential Impact	Possible Mitigation
	is high in medical devices and digital services	than 10,000 scholarships and training for over 5,200 people in high-demand skills; partner with universities and technical institutes

INVESTOR RISK NOTE

Costa Rica's risk profile reflects a stable, rules-based democracy with OECD membership, strong institutions and a proven ability to attract and retain high-value foreign investment. The 2025 results, with 4.6% growth, record exports and more than $5 billion of FDI, demonstrate the resilience of the free zone model, and rating upgrades from S&P and Moody's, record reserves and a precautionary IMF Flexible Credit Line underline the improvement in macroeconomic credibility. The main areas to monitor are public security, where the trend has begun to improve and the new government has made enforcement a priority; US trade policy, where the 12.5% tariff applies only to some product lines; and public debt of around 61% of GDP, which is being managed under a fiscal rule. Investors should complete product-level tariff reviews, build standard security planning into site selection and work through CINDE and PROCOMER to manage administrative timelines; with these steps in place, Costa Rica remains one of the most predictable investment destinations in the Americas.

MARKET ACCESS

Costa Rica is a founding member of the WTO and has 15 free trade agreements giving preferential access to more than 57 partners, including the CAFTA-DR agreement with the United States, the EU–Central America Association Agreement and the UK–Central America Association Agreement in force since January 2021, as well as agreements with Canada, Mexico, China and, since 2024, Ecuador and the UAE. In May 2026 CPTPP members welcomed the substantial conclusion of Costa Rica's accession negotiations; the government is consulting productive sectors before signature and legislative approval. Medical devices (31% of exports), business services, digital services, pineapples and bananas lead an export basket worth a record $35.2 billion in 2025, with the United States as the principal market. Caribbean ports at Limón and Moín and the Pacific port of Caldera connect Costa Rica to both oceans, positioning it as a nearshoring platform for North American and European supply chains.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the President (Laura Fernández)	Sets national priorities for 2026–2030, including public security, investment attraction and the decision on CPTPP signature	Primary reference point for understanding Costa Rica's strategic direction
CINDE (Costa Rican Investment Promotion Agency)	Private non-profit investment promotion agency responsible for attracting FDI in strategic sectors	Standard first point of contact for market entry, site selection and incentive guidance
PROCOMER (Foreign Trade Promoter)	Administers the Free Trade Zone Regime and promotes exports	Essential for free zone status, export promotion and compliance
Ministry of Foreign Trade (COMEX)	Leads trade policy, including US tariff dialogue and CPTPP accession	Key counterpart on market access, tariffs and trade-agreement opportunities
Banco Central de Costa Rica (BCCR)	Monetary authority; sets the policy rate (3.0%) and manages the flexible exchange-rate regime and reserves	Relevant for currency, financing conditions and banking-sector matters
Ministry of Finance (Hacienda)	Manages fiscal policy, the fiscal rule and public debt	Relevant for tax treatment, incentives and sovereign financing
Costa Rican Electricity Institute (ICE)	State utility central to power generation and telecommunications, operating a near-fully renewable grid	Key partner for energy-intensive projects and renewable-energy opportunities

CURRENT INTERNATIONAL BUSINESS CHANNELS

The American Chamber of Commerce of Costa Rica (AmCham), the Costa Rican Chamber of Exporters (Crecex) and the Free Zones Association (Azofras) are the principal business associations for foreign investors, alongside the Costa Rican Union of Chambers and Associations of the Private Business Sector (UCCAEP) for wider private-sector liaison. CINDE and PROCOMER run investor events, sector briefings and the Talent Costa Rica job fair, which has offered more than 8,000 vacancies. Established multinationals in the free zones, including several UK-linked businesses such as AstraZeneca, Diageo, Haleon and Smith & Nephew, are a valuable source of practical intelligence. The Inter-American Development Bank, IDB Invest, the World Bank and the Central American Bank for Economic Integration are active in infrastructure, energy and private-sector financing.

INVESTOR PROFILE BEST SUITED

Costa Rica suits investors seeking a stable, high-skill base in the Americas with strong institutions: medical-device and life-sciences manufacturers drawn by a mature cluster and the Free Trade Zone Regime; business-services, shared-service and digital companies benefiting from bilingual talent and time-zone alignment with North America; nearshoring investors serving US and European supply chains through CAFTA-DR and the EU and UK association agreements; and tourism, real-estate and renewable-energy investors building on Guanacaste and the country's near-fully renewable grid. Agro-industrial exporters and infrastructure investors through concessions and public-private partnerships will also find attractive opportunities, particularly in regional free zones outside the Central Valley.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage CINDE and PROCOMER early
Open dialogue with CINDE on site selection and sector support, and with PROCOMER on Free Trade Zone Regime eligibility and incentive terms.

STEP 2: Complete a product-level US tariff review
Confirm which product lines are subject to the 12.5% US tariff and which are exempt, and plan market diversification through Costa Rica's FTA network.

STEP 3: Evaluate regional free zones
Assess locations outside the Greater Metropolitan Area, where enhanced incentives and lower competition for talent and land are driving rapid investment growth.

STEP 4: Build security and compliance into site planning
Use professional security advisers and local counsel to select sites and structure operations in line with OECD anti-bribery and governance standards.

STEP 5: Track CPTPP signature and trade-policy developments
Follow COMEX consultations on CPTPP signature and ratification, which could open preferential access to Asia-Pacific markets.